

Accounts Payable Invoice Payment Procedure

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AP-1.1 Purpose

This procedure (ap-us-0001, v2.0) governs how Halden & Co. reviews, checks, and pays vendor invoices. Amounts are in USD. It applies to every invoice any business unit submits for payment. This version replaces ap-us-0001-v1.0, effective 2023-01-01, and is the current rule for payment decisions.

AP-2.1 Definitions

A purchase order names the vendor, the quantity, and the price. A delivery record confirms what was received. An invoice is the vendor's request for payment. A three-way match compares those three records. A duplicate payment is a second payment of an invoice already paid.

AP-3.1 Matching requirements

An invoice is paid only when the purchase order, the delivery record, and the invoice agree on vendor, item description, quantity, and price. The AP clerk performs this three-way match at intake and records the result on the invoice before payment.

AP-3.2 Discrepancy handling

Where the three-way match fails on quantity, price, or description, the invoice is placed on hold and sent to the AP supervisor. The supervisor works with the vendor or the requesting department until the discrepancy is resolved. An invoice on hold does not start the payment period in Section AP-6.1 until the match is confirmed.

AP-4.1 Intake and logging

An invoice is logged when it is received. The AP clerk records the invoice date, vendor, amount, and purchase order number. An invoice with no purchase order is logged as unmatched and sent to the AP supervisor before any further step.

AP-4.2 Duplicate payment controls

Before payment, the AP clerk confirms that no earlier payment exists against the same invoice number, purchase order, and vendor. The payment system flags a possible duplicate when vendor, amount, and invoice number match a paid record. A flagged invoice is not paid until the AP supervisor confirms it is not a duplicate. A duplicate found after payment is recorded and sent to the finance manager for recovery.

AP-5.1 Approval thresholds

An invoice of \$10,000 or more requires the approval of the finance manager before payment. The AP clerk records that approval on the invoice before release. An invoice below this threshold may be released by the AP clerk after a successful three-way match, with no further approval.

AP-6.1 Payment timing

An invoice is paid within 30 days of the date the three-way match is confirmed. Where an invoice cannot be paid inside that period, the AP clerk records the reason for the delay and notifies the AP supervisor.

AP-7.1 Exception and escalation

Where a discrepancy under Section AP-3.2 remains unresolved, or where an approval required under Section AP-5.1 has not been obtained as the payment period in Section AP-6.1 approaches, the AP supervisor escalates the invoice to the finance manager. The finance manager may approve payment, request further information, or direct that the invoice be returned to the vendor.

Escalation is a written referral. The AP supervisor records the invoice number, the vendor, the amount, the date the three-way match failed or the approval was found missing, and the question the finance manager must decide. A spoken request does not start the escalation, and it does not release the hold.

The finance manager answers in writing on the invoice record. Approving payment lets the clerk schedule it. Asking for further information sends the invoice back to the supervisor with the gap named, such as a delivery quantity that is missing or a price that still differs from the purchase order. Sending it back to the vendor includes a short statement of what failed the match. The clerk does not pay the invoice while that choice is still open.

If the finance manager is away, the referral waits. The supervisor does not name a substitute approver and does not release the invoice merely to meet the payment period. The hold stays until the decision is on the record. A decision that arrives after the payment period has ended still controls the invoice. The clerk pays only the amount that was approved and records the decision date beside the payment date.

When the referral uncovers a second problem, both stay with the finance manager until both are decided. The clerk adds the second problem to the same invoice record. The audit copy keeps the referral, the decision, and the date the hold ended.

AP-8.1 Recording and outcome

The match, the approval, and the payment are stored on the original invoice, including the date paid, the amount paid, and any approver. Any duplicate, discrepancy, or escalation stays with the invoice for audit.